3.2

Market Research

Cambridge IGCSE Business

- Why Businesses Research
- Primary Methods
- Secondary Methods
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- Accuracy Factors
- Analysing Data

What is Market Research?

The process of gathering, recording and analysing data about customers, competitors and the market — to help make better business decisions.

- Reduces risk before launching a product
- Identifies customer needs and preferences
- Reveals market trends and opportunities
- Helps set the right price and promotion
- Assesses competitor strengths and weaknesses

Why Businesses Use Market Research

Reduce risk · Understand customers · Spot opportunities

Why Businesses Use Market Research

Market research helps businesses make evidence-based decisions rather than relying on guesswork. The cost of research is far less than the cost of a failed product launch.

Reduce Risk

Research helps avoid costly mistakes — like launching a product nobody wants.

Google spent years researching user behaviour before launching Google Maps.

Identify Customer Needs

Understand exactly what customers want so you can design products that sell.

Apple's research into smartphone use led to the touchscreen iPhone design.

Identify Market Trends

Spot growing or declining trends before competitors do and adapt your strategy early.

Netflix researched binge-watching trends before launching full series drops.

Set the Right Price

Research reveals what customers are willing to pay, preventing prices being too high or too low.

Dyson used research to justify its £400+ vacuum cleaner price point.

Plan Effective Promotion

Research identifies where target customers spend their time, so promotion is placed in the right channels.

Gymshark's research showed its audience was on Instagram — so it focused there.

Assess Competition

Understand competitor strengths, weaknesses, prices and market position.

Aldi researched major supermarket pricing before entering the UK market.

Primary Research Methods

Questionnaires · Interviews · Focus Groups · Observation

Primary Research – What It Is & Four Methods

Primary research (field research) collects new, first-hand data specifically for the business's current needs. It is original but can be costly and time-consuming.

Questionnaires / Surveys

A set of written questions given to a sample of people — online, by post or face-to-face.

- ✓ Cheap; reaches large samples; easy to analyse patterns.
- ✗ Low response rates; people may rush or answer dishonestly.

Questionnaires

Primary research method

Interviews

One-to-one or group conversations with structured or open-ended questions.

- ✓ Rich detailed answers; can explore opinions in depth.
- ✗ Time-consuming and expensive; interviewer bias possible.

Interviews

In-depth primary research

Focus Groups

6–10 people brought together to discuss opinions on a product, idea or service.

- ✓ In-depth insight; uncovers attitudes and feelings.
- ✗ Expensive; one dominant person can skew group views.

Focus Groups

Group discussion research

Observation

Watching how customers behave in a real environment — in store, online or in public.

- ✓ Shows actual behaviour, not stated behaviour; no bias in answers.
- ✗ Cannot explain why behaviour happens; costly to staff.

Observation

Watching behaviour

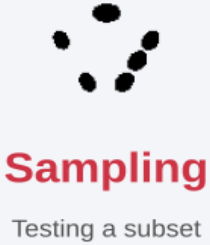
Exam tip: Questionnaires are the most commonly asked primary method. Be ready to give advantages AND disadvantages.

Primary Research – The Concept of Sampling

It is impossible to ask every customer in a market. Instead, businesses use a sample — a representative subset of the population — to gather data and make inferences.

Why sampling is useful:

- Much cheaper than surveying the entire population
- Faster to collect and analyse results
- Still provides reliable data if sample is representative
- Used by all major businesses, governments and pollsters



Types of sampling:

Random Sampling

Every person in the target group has an equal chance of being selected.

Randomly selecting 200 names from a customer database.

Quota Sampling

The sample must contain set proportions of certain groups (e.g. 50% male, 50% female).

Ensuring equal representation of age groups in a survey.

Stratified Sampling

Population is divided into strata (groups) and a proportional sample is taken from each.

Sampling 10% of each age group in a shopping survey.

Secondary Research Methods

Competitor websites · Government data · Market reports · Trade magazines

Secondary Research – What It Is & Methods

Secondary research (desk research) uses data that already exists — collected by someone else for a different purpose. It is faster and cheaper than primary, but may be outdated or not perfectly suited.

Competitor Websites

Analyse competitor products, prices, promotions and target markets from their public websites.

A new bakery studies Greggs' menu and pricing strategy online before launching.

Government Sources

ONS, HMRC and government reports provide data on population, income, unemployment and economic trends.

A clothing retailer uses ONS income data to understand its target customers' spending.

Market Reports

Research firms like Mintel and Nielsen publish detailed reports on specific industries and consumer trends.

Mintel reports helped drinks companies spot the rise of no/low-alcohol drinks.

Trade Magazines

Industry publications like The Grocer or Campaign contain news, data and trends specific to a sector.

A supermarket reads The Grocer to track trends in food retail and new product launches.

Exam tip: Secondary research is always faster and cheaper than primary — but may be out of date or not specific enough to the business's needs.

Primary vs Secondary Research – Comparison

Businesses often use both types together. Primary gives specific, fresh data; secondary gives context and background quickly and cheaply.

	Primary Research	Secondary Research
Definition	First-hand, new data collected specifically for this purpose	Existing data collected by someone else for a different purpose
Cost	Expensive — surveys, focus groups, research staff needed	Cheap or free — internet reports and government data widely available
Speed	Slow — must design, conduct and then analyse the research	Fast — data already exists and can be found almost instantly
Relevance	Highly relevant — specifically designed for this business's question	May not match perfectly — gathered for a different original purpose
Accuracy / Bias	Controlled by the business — but interviewer bias is possible	May contain bias from original researcher; cannot always be verified
Up to date?	Yes — collected now, reflects current market conditions	Not always — market reports may be months or years old
Examples	Questionnaires, interviews, focus groups, observation	Competitor websites, government data, Mintel reports, trade magazines

Accuracy of Market Research

Factors that affect reliability of data

Factors Influencing the Accuracy of Market Research Data

Factors Affecting Research Accuracy

Sample size	Larger = more reliable
Bias	Leading questions skew results
Recency	Old data may be outdated
Source	Official sources more reliable

Not all market research is reliable. Several factors can affect whether the data collected is accurate, representative and useful for decision-making.

Sample Size

A larger, more diverse sample gives more reliable results. A tiny sample (e.g. 10 people) may not represent the whole market.

A poll of 10 people saying they'd buy a product is far less reliable than 1,000 people.

Question Bias

Leading or loaded questions push respondents toward a particular answer, making results unreliable.

'Don't you agree our new product is great?' leads to a biased yes answer.

Recency of Data

Old secondary data may not reflect current customer preferences or market conditions.

A 2018 market report on streaming habits is useless for a 2025 business decision.

Source Reliability

Data from official government bodies or reputable research firms is more trustworthy than anonymous or partisan sources.

ONS population data is far more reliable than a random social media poll.

Respondent Honesty

Respondents may not tell the truth — especially on sensitive topics like income, health or political views.

Sampling Method

Convenience sampling (e.g. asking friends) can introduce bias. Random or stratified sampling produces more representative results.

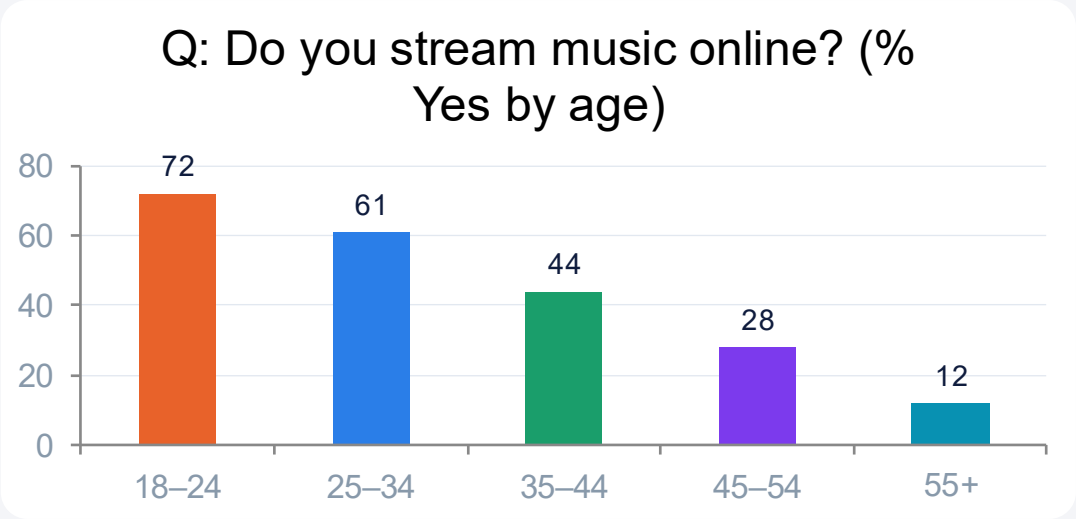
Exam tip: Always evaluate research data critically — a small, biased sample can lead a business to make very expensive mistakes.

Analysing Market Research Data

Reading and interpreting simple data tables and charts

Analysing Market Research Data – A Worked Example

In the exam you may be given data from market research and asked to analyse, interpret or make decisions based on it. Always support conclusions with figures from the data.



How to Analyse This Data

- Identify the trend: streaming drops sharply with age.
- The 18–24 group has the highest adoption at 72%.
- A music streaming business should target younger demographics.
- Only 12% of over-55s stream — older formats still relevant for that group.
- But check: sample size and date matter for reliability.

What businesses do with research findings:

- Target the right segments
- Set the right price
- Choose the right promotion channels
- Decide on distribution
- Launch or improve products

Key Revision Checklist – 3.2 Market Research

Why Research	Reduce risk, identify needs, spot trends, set price, plan promotion, assess competition
Primary	Questionnaires, interviews, focus groups, observation — advantages: specific and fresh; disadvantages: expensive and slow
Sampling	A representative subset of the population — random, quota and stratified sampling — larger sample = more reliable results
Secondary	Competitor websites, government sources (ONS), market reports (Mintel), trade magazines — advantages: cheap/fast; disadvantages: outdated/not specific
Accuracy	Factors: sample size, question bias, recency, source reliability, respondent honesty, sampling method
Analysing Data	Use figures to support conclusions — identify trends, target segments, compare groups — look for patterns and anomalies